

Document 4: Commercial Due Diligence

– Key Contracts

File Name: 04_Customer_Supplier_Contracts.docx

Purpose: Details on customer and supplier relationships.

Content:

APEX HEALTH SOLUTIONS - MAJOR CUSTOMERS

- WellnessCorp: \$20M in revenue (45% of total). Contract expires on January 31, 2024.
- MediGroup: \$10M in revenue (22%). Contract expires in 2025.
- HealthFirst: \$6M in revenue (13%). Contract expires in 2024.

The Red Flag: The contract with WellnessCorp is huge and is expiring in three months. The legal schedule shows a dispute with WellnessCorp over SLA terms, which is a classic "red flag" because the contract's renewal is in jeopardy. The buyer could lose a massive chunk of revenue immediately after the deal closes .